

accounts for 35%. How much you owe counts for another 30%, and your credit history represents 15%. The last two factors, the type of credit mix and the number of new credit applications you have, each account for 10%. Scores range from 300 to 850—the higher, the better.

Q: Where do I get my credit score?

A: Although you're entitled to a free credit report from all of the agencies each year, you're not entitled to a free credit score. If you're curious and want to get a rough idea of your score, you can get a free ballpark figure at websites like www.bankrate.com and www.creditkarma.com. Remember, though, that these are only estimates. The score most lenders will look at is your FICO score, which you can get for about \$16 at www.myfico.com. If you're serious about getting a loan, know your FICO score before applying.

Q. Why would I need to get a FICO score from all three bureaus?

A. For one thing, FICO develops slightly different models for each of the three bureaus. Also, the agencies have different information in their files on you, depending on what they may have received or not received from various lenders. So the material in the report used to concoct your score varies from one bureau to another. That's why it's especially important to get your score from all three bureaus: to make sure you know how you're viewed by each. Again, the good news is that you can get all three at www.myfico.com.

Q: How will a high score help me?

A: The higher the score, the better you are viewed by lenders; they will want your business and offer you lower rates. The lower your score, the higher your interest rates on credit cards, mortgages, and loans. Consider just one example. Let's say you have a \$200,000, 30-year fixed-rate mortgage. The table below shows how your credit score would affect your monthly payments and ultimately how much you pay over the life of the loan.